

Wheat Market Report

Wheat Market Report — Sample edition

Global Wheat Market Report — 2023 Annual Review

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Executive Summary

Global wheat prices reached a record intra-year average of \$438 per tonne in the second quarter of 2022, up 74 percent from the same period in 2021. The surge was driven by supply-side shocks, elevated input costs, and broad-based food inflation. Prices moderated from early 2023 as shipments recovered and the Black Sea corridor resumed.

Why did wheat prices spike in 2022?

Three factors dominated the 2022 rally. First, the disruption of exports from the Black Sea region removed a substantial share of global milling wheat from world markets. Second, energy and fertilizer costs jumped, lifting production costs across exporting countries. Third, importers rushed to secure supplies, pushing inventories down. FAO's Cereal Supply and Demand Brief reported that global wheat stocks fell to their lowest level since 2016/17, which amplified price sensitivity to any further supply news.

Prices afterward

From March 2023 the December milling wheat contract eased toward \$270 per tonne as the corridor shipments stabilized. Comparatively high carryover stocks entering 2023/24 cushioned the market against renewed tightness, and successive large harvests in the southern hemisphere weighed on prices through the fourth quarter.

Terminology: Carryover stocks

Carryover stocks refer to the quantity of a commodity that remains in storage from the previous marketing period and is available for use in the following period. They act as a buffer: higher carryover typically signals a more comfortable supply position and can dampen price volatility.

Outlook for the coming season

The latest outlook indicates a modest global wheat surplus for 2023/24, with production expected to exceed use by roughly 9 million tonnes. Mild import demand and ample inventories point to a broadly stable price range, barring weather disruptions in the northern hemisphere growing season.